YEAR-END PROCEDURE

PRE-ADJUSTMENT TRIAL BALANCE
The Trial Balance is drawn up at the end of each month.
The point of departure is the Trial Balance that was drawn up on the last day of the accounting period.

ADJUSTMENTS
Adjustments are entered in the General Journal and posted to the accounts in the General Ledger.

POST-ADJUSTMENT TRIAL BALANCE
This procedure is done to check the accuracy of the records thus far.

CLOSING TRANFERS
Closing transfers are entered in the General Journal and posted to the accounts in the General Ledger.

FINAL ACCOUNTS DRAWN UP IN THE GENERAL LEDGER
The Trading account is drawn up to calculate the gross profit.
The Profit and Loss account is drawn up to calculate the net profit.

POST-CLOSING TRIAL BALANCE
This procedure is done to check the accuracy of the records thus far.
Only the Balance Sheet accounts remain as all the Nominal accounts were transferred to the final accounts.

FINANCIAL STATEMENT
Financial Statements consist of an Income statement for the Nominal accounts and a Balance Sheet for Balance Sheet accounts.

ANALYSE AND INTERPRET THE FINANCIAL STATEMENTS
By analysing and interpreting the Financial Statements, we can calculate the profitability, liquidity and solvency of the business.

REVERSALS OF ADJUSTMENTS
It is necessary to reverse some adjustments at the beginning of the year as these items will be dealt with in the new accounting period.